Inspironics Corporation

Optional Pro-Rata Bridge Subscription

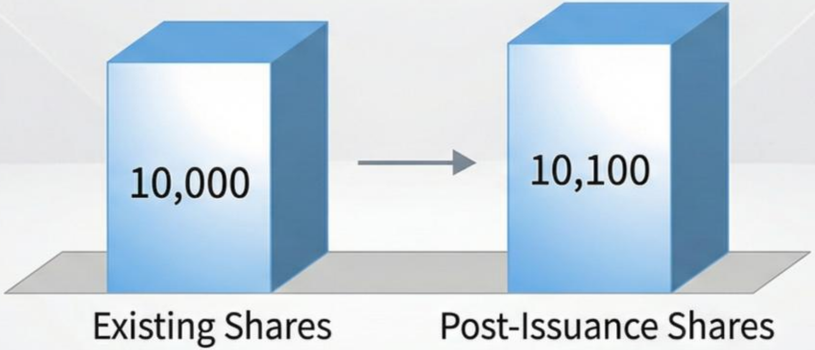
Value Preservation During Exit

Exit Execution – Final Mile Continuity

- Exit plan authorized under BR-2026-04
- Minimum burn funding required for Feb–Apr continuity
- Preserve enterprise value during negotiation phase
- Protect stakeholder upside

Proposed Bridge Terms

Total Bridge Raise:	$40,000	Price Per Share:	$400
Pre-Money Valuation:	$4,000,000	New Shares Issued:	100
Existing Shares:	10,000	Post-Issuance Shares:	10,100



Pro-rata opportunity offered to all existing shareholders

Participation Impact – Maintain vs Dilute

Bridge Raise: $40,000 | Pre-Money: $4,000,000 | Price/Share: $400 | New Shares: 100 | Post Shares: 10,100

Participates

- 3% holder contributes $1,200
- Receives 3 shares
- Ownership maintained at 3.00%
- Exit @ $10M = $300,000

Does Not Participate

- Receives 0 shares
- Ownership drops to 2.97%
- Exit @ $10M = $297,000
- ~$3,000 value impact

$1,200 preserves approximately $3,000 at a $10M exit.

Legal & Structural Framework

- Pro-Rata Optional
- NJ Law Compliant
- Value Preservation Mechanism
- Final Mile Exit Protection

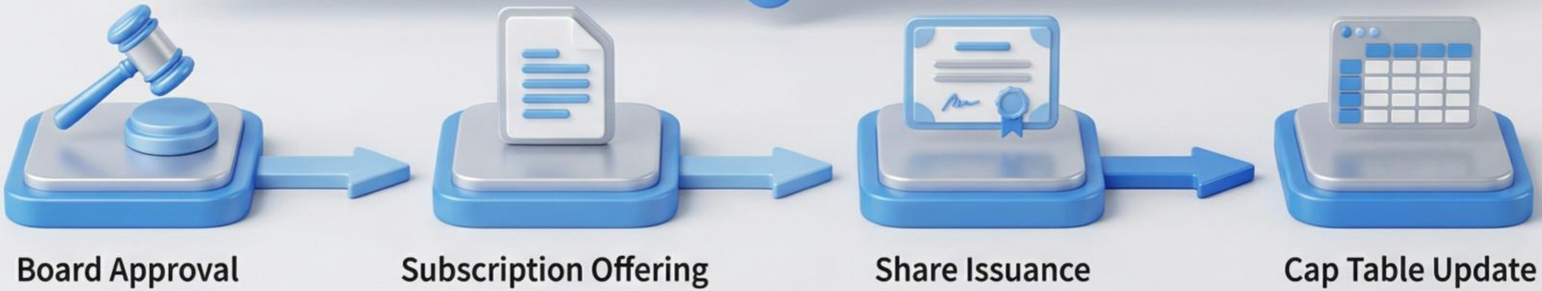
Under New Jersey law, shares cannot be forcibly taken away unless:

- There is an existing Shareholder Agreement providing such authority, or
- A new equity issuance is approved by the Board.

Therefore, the structure adopted is:

Optional Pro-Rata Bridge Subscription with Non-Participation Dilution via New Issuance.

This structure is lawful, defensible, and standard corporate practice.



Why This Structure Protects All Stakeholders

- Preserves ownership for supporting stakeholders
- Avoids exit execution disruption
- Maintains valuation integrity
- Aligns capital with conviction
- Reinforces Board governance discipline

FAQ - Essence of Shareholder Communication

- Why is bridge needed? → To preserve enterprise value during exit execution
- Is participation mandatory? → No. It is voluntary and pro-rata
- What happens if not participating? → Proportionate dilution via issuance of new shares
- Is this legally compliant? → Yes. Structured under NJ Business Corporation Act
- Does this change control? → No structural control shift; ownership maintained for participants
- Is valuation discounted? → Yes. Risk-adjusted interim pricing